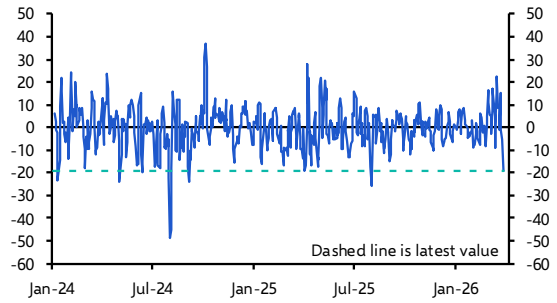
Growth concerns take centre stage

Notwithstanding some positivity in stock markets today, recent market moves – including a big rally in Treasuries and widening credit spreads – point to growing concerns around economic activity. We expect these fears to ease over coming months.

Treasuries have continued to rally today, extending a move that began last Friday. The 2-year yield has now fallen by ~20bp over that period, one of its steepest declines in recent years. (See Chart 1.) This decline has reflected investors paring back bets on rate *hikes* and once again price in rate *cuts*, with ~20bp of easing now priced for the next 18 months.

Chart 1: 3-Day Change In 2Y UST Yield (bp)

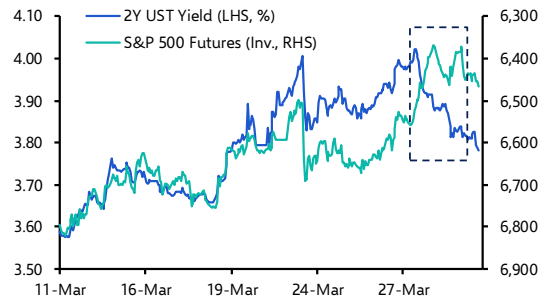


Sources: LSEG, Capital Economics.

This reassessment may partly reflect comments from Fed Chair Powell on Monday, in which he said that the Fed could afford to wait and see what the impact of the war would be. He also noted that policymakers typically look past oil price shocks.

That said, this alone doesn't explain the rally in Treasuries given that the move started on Friday and has been far larger than comments like that would seem to warrant. **Our sense is that the rally instead partly reflects growing concerns about economic activity**. That is consistent with the lack of a rally in stocks in response to the fall in yields. (See Chart 2.)

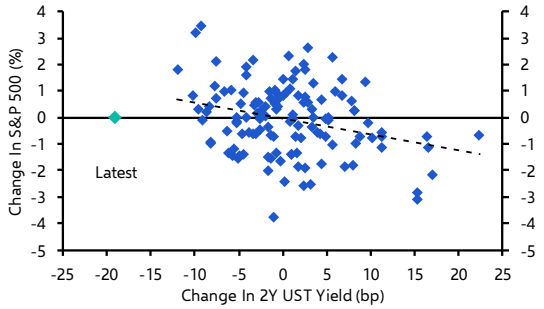
Chart 2: 2Y UST Yield & S&P 500 (Inverted RHS)



Sources: LSEG, Capital Economics.

This marks a breakdown in what had been a pretty tight correlation between stocks and bonds during this conflict so far. Indeed, the past few days are a startling outlier when compared to the relationship between both in the past six months. (See Chart 3.)

Chart 3: 3-Day Changes In 2Y UST Yield & S&P 500 (Past 6 Months)



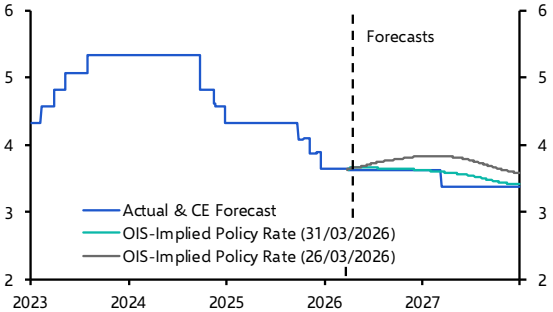
Sources: LSEG, Capital Economics.

The idea that investors have become more worried by the growth outlook is also reflected in credit markets: the option-adjusted spreads of US high yield corporate bonds have generally risen by as much since Friday as they had since the war began.

Some of these market moves are consistent with our baseline forecast. For example, we think market pricing for the Fed funds rate now looks about right. (See Chart 4.) But our forecasts are predicated on inflation concerns easing, rather than growth fears escalating. (We set out our baseline scenario here).

If these growth concerns persist, we doubt the stock market would rally this year, despite our upbeat view on AI. But if something akin to our baseline scenario materialises, we think there's scope for stocks and bonds to rally in tandem through 2026.

Chart 4: Fed Funds Rate (%)



Sources: LSEG, Capital Economics.

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Key Insights From CE

- Between developments in the Middle East and the software sector, it has been a volatile first quarter for AI-related stocks. This Equities Focus uses our propriety CE AI Equity Indices to gauge the health of the rally and consider how it might develop over the rest of 2026.
- The direct effect of renewed strikes on shipping in the Red Sea on aggregate world trade is likely to be limited, but the impact on Asian economies that rely more heavily on oil imports from Saudi Arabia would be more significant. Read more in this Global Economics Update.
- While the energy sector has been the best-performing sector of the S&P 500 since the conflict in the Middle East began, our baseline assumption is that most of this outperformance will unwind over the rest of the year. Read more in this Equities Update.

Economic Data & Events

Date	Country	Release/Indicator/Event	BST	Previous*	Median*	CE Forecast*
Wed 1st	EZ	S&P Global Manufacturing PMI (Mar., Final)	09.00	51.4p	51.4	51.4
	US	Change in ADP Employment (Mar.)	13.15	+63,000	+40,000	+35,000
	US	Retail Sales (Feb.)	13.30	-0.2%	+0.4%	+0.3%
	US	Core Retail Sales (Feb.)	13.30	0.0%	+0.3%	+0.2%

*m/m(y/y) unless otherwise stated; p = provisional

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